CASCADIA ANALYTICS

# Union Pacific Corporation

Equity Research Note | UNP | 23 OCTOBER 2026

## Best Railroad, Full Price

Union Pacific screens as a Hold, Valuation Concerns with a $191.73 blended target, 35% below the current price.

**Analyst: Justin Wen**

| REFERENCE PRICE | BLENDED TARGET | BLENDED UPSIDE | |
|---|---|---|---|
| $293.57 | $191.73 | -35% | HOLD, VALUATION CONCERNS |

### Investment Thesis

Best Railroad, Full Price. Union Pacific is the premier North American railroad: 29% net margins, 38% ROE, six straight quarters of pricing gains, record productivity. The operating quality is unquestioned [8-K Q2 2026]. Merger Is the Story. The proposed Norfolk Southern combination would create the first transcontinental US railroad. It is also the only credible growth driver beyond low-single-digit volume gains [8-K]. Overvalued on DCF. At $293.57 [Mkt 16-Oct-26], the stock is 32% above our $191.04 DCF base.

- Best Railroad, Full Price
- Merger Is the Story
- Overvalued on DCF

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## The latest print

**Merger Is the Story.** The proposed Norfolk Southern combination would create the first transcontinental US railroad. It is also the only credible growth driver beyond low-single-digit volume gains.

**Overvalued on DCF.** At $293.57, the stock is 32% above our $191.04 DCF base. Quality deserves a premium, but the current price assumes the merger closes smoothly and volumes recover.

| $6.86B | $3.41 | ~59% | 28.9% | 38.5% | $24.5B |
|---|---|---|---|---|---|
| REVENUE (Q2 2026) | EPS (Q2 2026) | OPERATING RATIO | NET MARGIN | RETURN ON EQUITY | REVENUE (FY25) |

## Key metrics in detail

| METRIC | LATEST | VS YEAR AGO | TREND |
|---|---|---|---|
| **Revenue (Q2 2026)** | $6.86B | +11.5% | Up |
| **EPS (Q2 2026)** | $3.41 | +12.5% | Up |
| **Operating Ratio** | ~59% | -1.1 pts | Down |
| **Net Margin** | 28.9% | +1.0 pts | Up |
| **Return on Equity** | 38.5% | n/a | Up |
| **Revenue (FY25)** | $24.5B | +1.0% | Up |
| **Net Income (FY25)** | $7.14B | +5.8% | Up |

## The moat

Core pricing gains for sixth consecutive quarter; freight revenue ex-fuel at record

## The growth engine

Best-ever workforce productivity, fuel consumption, terminal dwell

## Three scenarios make the valuation range explicit

Three scenarios, weighted 25% / 50% / 25% into the blended target.

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| SCENARIO | WEIGHT | 2026-30 CAGR | 2030 REVENUE | 2030 EBIT MARGIN | TARGET | UPSIDE |
|---|---|---|---|---|---|---|
| **Bear** | 25% | 2.7% | $29.30B | 40.0% | **$159.59** | -46% |
| **Base** | 50% | 4.0% | $31.49B | 42.2% | **$191.04** | -35% |
| **Bull** | 25% | 5.4% | $34.01B | 44.0% | **$225.24** | -23% |

**Bear:** downside case at $159.59 (-46%).

**Base:** central case at $191.04 (-35%).

**Bull:** upside case at $225.24 (-23%).

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# The probability-blended target implies 35% downside

A 25% Bear / 50% Base / 25% Bull weighting implies -35% from the $293.57 reference price.

**$191.73**
BLENDED TARGET

The valuation uses a multi-year unlevered free cash flow DCF. The discount rate is the live CAPM rate: the 10-year Treasury yield plus beta times the market-implied equity risk premium. Terminal value is a Gordon perpetuity on terminal-year free cash flow.

Mechanics are explicit. The bridge runs revenue to EBIT to cash taxes, then adds back D&A and subtracts capex and working-capital investment to reach unlevered free cash flow. Targets are divided by diluted shares outstanding.

| | |
|---|---|
| Revenue base (2026E) | **$26.91B** |
| Valuation horizon | **2026-2030** |
| Live WACC | **8.02%** |
| Terminal growth | **2.5%** |
| Net debt | **$28.71B** |
| 2030 FCF (Base) | **$8.42B** |
| 10-year Treasury yield | **5.0%** |
| Beta | **0.95** |
| Equity risk premium | **3.7%** |

**HOLD, VALUATION CONCERNS | $191.73 BLENDED TARGET | WEN**

## The reverse DCF: what the market prices in

Holding the base-case FCF margin flat, the market-implied revenue CAGR is 12.2%, market-implied 5-yr revenue CAGR: 12.2%.

## Reverse DCF sensitivity

Implied enterprise value and share price at each five-year revenue CAGR, with the base-case free cash flow margin held flat. The highlighted row sits nearest the market-implied CAGR.

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| CAGR | Implied EV | Implied price | CAGR | Implied EV | Implied price | CAGR | Implied EV | Implied price | CAGR | Implied EV | Implied price |
|---|---|---|---|---|---|---|---|---|---|---|---|
| -10% | $75.6B | $78.93 | +10% | $185.4B | $263.80 | +30% | $404.6B | $632.78 | +50% | $801.8B | $1,301.26 |
| -9% | $79.3B | $85.17 | +11% | $193.3B | $277.06 | +31% | $419.6B | $657.97 | +51% | $827.8B | $1,345.16 |
| -8% | $83.2B | $91.68 | **+12%** | **$201.5B** | **$290.80** | +32% | $435.0B | $683.92 | +52% | $854.6B | $1,390.21 |
| -7% | $87.2B | $98.45 | +13% | $209.9B | $305.01 | +33% | $450.9B | $710.64 | +53% | $882.1B | $1,436.44 |
| -6% | $91.4B | $105.50 | +14% | $218.6B | $319.71 | +34% | $467.2B | $738.15 | +54% | $910.2B | $1,483.86 |
| -5% | $95.7B | $112.84 | +15% | $227.7B | $334.91 | +35% | $484.0B | $766.47 | +55% | $939.1B | $1,532.50 |
| -4% | $100.3B | $120.47 | +16% | $237.0B | $350.63 | +36% | $501.4B | $795.62 | +56% | $968.8B | $1,582.39 |
| -3% | $105.0B | $128.40 | +17% | $246.7B | $366.88 | +37% | $519.2B | $825.61 | +57% | $999.2B | $1,633.54 |
| -2% | $109.9B | $136.66 | +18% | $256.6B | $383.68 | +38% | $537.5B | $856.47 | +58% | $1030.3B | $1,685.99 |
| -1% | $115.0B | $145.23 | +19% | $266.9B | $401.03 | +39% | $556.4B | $888.21 | +59% | $1062.3B | $1,739.76 |
| +0% | $120.3B | $154.14 | +20% | $277.6B | $418.95 | +40% | $575.8B | $920.85 | +60% | $1095.0B | $1,794.86 |
| +1% | $125.8B | $163.39 | +21% | $288.6B | $437.45 | +41% | $595.7B | $954.42 | +61% | $1128.5B | $1,851.34 |
| +2% | $131.5B | $172.99 | +22% | $299.9B | $456.56 | +42% | $616.2B | $988.92 | +62% | $1162.9B | $1,909.21 |
| +3% | $137.4B | $182.95 | +23% | $311.7B | $476.27 | +43% | $637.3B | $1,024.39 | +63% | $1198.1B | $1,968.49 |
| +4% | $143.5B | $193.29 | +24% | $323.7B | $496.62 | +44% | $658.9B | $1,060.83 | +64% | $1234.2B | $2,029.22 |
| +5% | $149.9B | $204.02 | +25% | $336.2B | $517.61 | +45% | $681.2B | $1,098.28 | +65% | $1271.2B | $2,091.42 |
| +6% | $156.5B | $215.14 | +26% | $349.1B | $539.27 | +46% | $704.0B | $1,136.75 | +66% | $1309.0B | $2,155.12 |
| +7% | $163.4B | $226.66 | +27% | $362.3B | $561.59 | +47% | $727.5B | $1,176.26 | +67% | $1347.8B | $2,220.35 |
| +8% | $170.5B | $238.61 | +28% | $376.0B | $584.61 | +48% | $751.6B | $1,216.84 | +68% | $1387.4B | $2,287.12 |
| +9% | $177.8B | $250.98 | +29% | $390.1B | $608.33 | +49% | $776.4B | $1,258.50 | +69% | $1428.0B | $2,355.48 |

## Balance sheet and share count reconciliation

Enterprise value converts to equity value after net debt, and targets divide by diluted shares.

| SCENARIO | ENTERPRISE VALUE | EXIT EV/ FCF | TERMINAL GROWTH | PLUS: NET CASH | EQUITY VALUE | TARGET |
|---|---|---|---|---|---|---|
| **Bear** | $123.53B | — | 2.5% | -$28.71B | $94.82B | **$159.59** |
| **Base** | $142.21B | — | 2.5% | -$28.71B | $113.50B | **$191.04** |
| **Bull** | $162.54B | — | 2.5% | -$28.71B | $133.83B | **$225.24** |

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## Fair value across scenarios

Model fair value by year under each scenario, on the same paths the ticker page chart draws.

| SCENARIO | 2026 | 2026 | 2027 | 2028 | 2029 | 2030 |
|---|---|---|---|---|---|---|
| **Bear** | $159.61 | $172.41 | $174.70 | $176.61 | $178.26 | $179.69 |
| **Base** | $191.06 | $206.38 | $210.37 | $213.84 | $216.96 | $219.69 |
| **Bull** | $225.27 | $243.34 | $249.21 | $254.38 | $259.00 | $263.10 |

Methodology note. The discount rate is the live U.S. 10-year Treasury yield plus beta times equity risk premium. Terminal growth reflects long-run nominal GDP. The $191.73 headline target applies 25% / 50% / 25% Bear / Base / Bull weights.

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# The franchise deep dive

Core pricing gains for sixth consecutive quarter; freight revenue ex-fuel at record

Best-ever workforce productivity, fuel consumption, terminal dwell

Proposed Norfolk Southern merger creates first transcontinental railroad

## Revenue and margin trend

| METRIC | FY21 | FY22 | FY23 | FY24 | FY25 |
|---|---|---|---|---|---|
| **Revenue** | $21.8B | $24.9B | $24.4B | $24.3B | $24.5B |
| **Op Ratio** | 57.2% | 60.1% | 62.3% | 58.9% | 58.5% |
| **Net Margin** | 29.9% | 28.0% | 26.1% | 27.8% | 29.1% |

## Valuation cross-check

NTM P/E 20.3x

DCF Base $191.04 vs $293.57 spot

PEG 2.87

DCF implies 35% downside. PEG of 2.87 is expensive for low-single-digit growth.

CSX 27x, NSC 27x NTM P/E

In line with Class I peers, all of which look full.

Trading near the high end of historical multiples

Merger speculation supports the premium; fundamentals alone do not.

## What to monitor

**Oct 22, 2026.** Q3 2026 Earnings: consensus $3.47 EPS on $7.12B revenue. Operating ratio is the key metric.

**2026-2027.** Norfolk Southern merger regulatory review; STB application expected after Oct 29.

**2027.** Pricing gains and productivity initiatives target continued OR improvement.

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## Financial summary: income statement

| YEAR | REVENUE | GROSS PROFIT | OPERATING INCOME | EBITDA |
|---|---|---|---|---|
| **2022** | $24.9B | $11.2B | $9.9B | $12.6B |
| **2023** | $24.1B | $10.5B | $9.1B | $11.9B |
| **2024** | $24.2B | $11.0B | $9.7B | $12.5B |
| **2025** | $24.5B | $11.2B | $9.8B | $12.9B |

## Balance sheet

| YEAR | TOTAL ASSETS | TOTAL LIABILITIES | TOTAL EQUITY | CASH |
|---|---|---|---|---|
| **2021** | $63.5B | $49.4B | $14.2B | $960M |
| **2022** | $65.4B | $53.3B | $12.2B | $973M |
| **2023** | $67.1B | $52.3B | $14.8B | $1.1B |
| **2024** | $67.7B | $50.8B | $16.9B | $1.0B |
| **2025** | $69.7B | $51.2B | $18.5B | $1.3B |

## Cash flow

| YEAR | OPERATING CF | CAPEX | FINANCING CF | FREE CF |
|---|---|---|---|---|
| **2022** | $9.4B | $-3.6B | $-5.9B | $5.7B |
| **2023** | $8.4B | $-3.6B | $-4.6B | $4.8B |
| **2024** | $9.3B | $-3.5B | $-6.1B | $5.9B |
| **2025** | $9.3B | $-3.8B | $-5.3B | $5.5B |

Methodology note. The discount rate is the live U.S. 10-year Treasury yield plus beta times equity risk premium. Terminal growth reflects long-run nominal GDP. The $191.73 headline target applies 25% / 50% / 25% Bear / Base / Bull weights.

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# Agency risk score 42 of 100: high agency risk, the value-trap profile

The score follows the website's Executive Alignment & Agency Risk model: insider ownership up to 40 points, open-market Form 4 flow over the trailing six months up to 30, and pay-for-performance up to 30. Insiders hold 0.07% of shares outstanding. Form 4 filings over the trailing six months show $0 of open-market purchases against $8.78M of sales, a net flow of -$8.78M. One-year total shareholder return is +37.6% against CEO total pay of $5.30M (Mr. Vincenzo James Vena), which the model scores as PERFORMANCE EARNED.

**42**
AGENCY RISK SCORE, OF 100

## The three components

| COMPONENT | SCORE | WHAT THE SITE SHOWS |
|---|---|---|
| **Insider Ownership (Skin in the Game)** | 2 / 40 | 0.07% of shares held by insiders |
| **Form 4 Flow (Conviction Flow)** | 14 / 30 | Buys $0 (0) vs sales $8.78M (3), net -$8.78M, trailing six months |
| **Pay-for-Performance** | 26 / 30 | PERFORMANCE EARNED: Stock Outperformance Matches Comp Structure. 1Y TSR +37.6%; Mr. Vincenzo James Vena, CEO & Director, total pay $5.30M |
| **Agency Risk Score** | **42 / 100** | Regime: HIGH AGENCY RISK // VALUE TRAP |

## Recent Form 4 filings

| DATE | FILER | RELATION | TYPE | SHARES | VALUE |
|---|---|---|---|---|---|
| **2026-06-03** | Gehringer Eric J. | Officer | SELL | 2,991 | $789.5K |
| **2026-04-24** | Rocker Kenyatta G. | Officer | SELL | 27,387 | $7.44M |
| **2026-04-24** | Hamann Jennifer L | Chief Financial Officer | SELL | 2,000 | $549.4K |

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## SEC proxy audit, DEF 14A filed 2026-03-25

**Alignment grade A.** BONUS AT 138% OF TARGET. V. James Vena, fiscal 2025 vs fiscal 2024; total compensation change year on year: N/A.

| BASE SALARY | STOCK AWARDS | NON-EQUITY INCENTIVE | OTHER COMPENSATION |
|---|---|---|---|
| **N/A** | N/A | N/A | N/A |

Annual formula-based incentives paid out at 138% of target driven by above-target operating income, improved operating ratio, and record safety results. Conversely, 2023-2025 performance stock units vested below target at 86%, reflecting genuine rigor in three-year ROIC and relative operating income growth metrics. While individual compensation dollar figures are omitted from this excerpt, 92% of the CEO's compensation opportunity is performance-based with strong say-on-pay support (94%).

Proxy audit source: SEC EDGAR DEF 14A, audited 2026-10-18 by the weekly proxy pipeline. Filing: https://www.sec.gov/Archives/edgar/data/100885/000010088526000098/unp-20260324.htm

Methodology. This module reuses the website's Executive Alignment & Agency Risk model unchanged. Scores of 75 and above band as founder-mode, high conviction; 45 to 74 as balanced, typical corporate; below 45 as high agency risk. Inputs are the same feeds behind the site model (Yahoo Finance insider holdings, Form 4 transactions and executive compensation) plus the SEC DEF 14A CD&A audit from the weekly proxy pipeline. Computed 23 October 2026 for this note.

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## The bear case

### Merger Regulatory Risk

STB may block or condition the NSC merger; a rejection would remove the primary growth catalyst.

### Economic Sensitivity

Freight volumes are economically sensitive; a recession hits carloads across all segments.

### Leverage

Debt/equity of 1.72x limits financial flexibility for the merger and buybacks.

## The strengths

### Operating Quality

Premier North American railroad with 29% net margins and 38% ROE. Pricing power through economic cycles. The moat is the physical network.

### Recent Trend

Q2 beat on EPS and revenue, record productivity metrics, sixth straight quarter of pricing gains. But carload volume is flat; growth is price, not volume.

### Forward Growth

Freight volumes track industrial production; low-single-digit growth at best. The NSC merger is the growth story but faces regulatory risk and integration complexity.

### Valuation

At $293.57 vs $191.04 DCF base (-35% upside), the stock is materially overvalued. NTM P/E 20.3x and PEG 2.87 are full for a low-growth railroad. Terminal value is the Gordon perpetuity alone at 2.5% growth on terminal-year free cash flow. The EV/EBITDA exit leg on terminal EBITDA (11.0x bear, 14.5x base, 15.0x bull) is retained in the model as a cross-check and is not used in the valuation. In the base case the Gordon leg is $156.3B and the exit leg is $234.1B. At the model's terminal discount rate the exit leg implies 4.27% perpetual growth against the 2.5% assumed, and the growth-consistent exit multiple is 9.7x against the 14.5x used. The present value of terminal value is about 78% of enterprise value. Cash flows are unlevered and are discounted at a weighted WACC of 7.98%: the live CAPM cost of equity blended with an after-tax cost of debt at market-value weights.

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## Cascadia scorecard

**Composite score 62: Fair.** Confidence High, as of 17-Oct-2026.

| PILLAR | RATIONALE | SCORE |
|---|---|---|
| **Operating Quality** | Premier North American railroad with 29% net margins and 38% ROE. Pricing power through economic cycles. The moat is the physical network. | 85 |
| **Recent Trend** | Q2 beat on EPS and revenue, record productivity metrics, sixth straight quarter of pricing gains. But carload volume is flat; growth is price, not volume. | 70 |
| **Forward Growth** | Freight volumes track industrial production; low-single-digit growth at best. The NSC merger is the growth story but faces regulatory risk and integration complexity. | 55 |
| **Valuation** | At $293.57 vs $191.04 DCF base (-35% upside), the stock is materially overvalued. NTM P/E 20.3x and PEG 2.87 are full for a low-growth railroad. Terminal value is the Gordon perpetuity alone at 2.5% growth on terminal-year free cash flow. The EV/EBITDA exit leg on terminal EBITDA (11.0x bear, 14.5x base, 15.0x bull) is retained in the model as a cross-check and is not used in the valuation. In the base case the Gordon leg is $156.3B and the exit leg is $234.1B. At the model's terminal discount rate the exit leg implies 4.27% perpetual growth against the 2.5% assumed, and the growth-consistent exit multiple is 9.7x against the 14.5x used. The present value of terminal value is about 78% of enterprise value. Cash flows are unlevered and are discounted at a weighted WACC of 7.98%: the live CAPM cost of equity blended with an after-tax cost of debt at market-value weights. | 40 |
| **Catalysts & Risk** | Q3 earnings Oct 22 is the near-term test. NSC merger is two-sided: transformational if approved, a major overhang if blocked. Volume softness is the risk. | 65 |

# Investment view

> STB approval of the NSC merger would add a strategic premium. A Q3 volume miss or merger rejection would cut Growth and Catalysts.
>
> **Investment view: Hold, Valuation Concerns. The $191.73 blended target implies -35%, balancing the $159.59 / $191.04 / $225.24 Bear / Base / Bull outcomes.**

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